



“The Reserve Bank of India would maintain a status quo on rates in the coming meetings before considering rate cuts in the latter part of H1FY25”

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long-term government bonds can be a wise choice, as interest rates are expected to come down gradually over the next few years, reversing the previous upward trend.

“One can consider long-term debt funds and dynamic bond funds with a modified duration of 7-11 years. Interest rates are expected to decline by 75-100 basis points in the next 12-18 months. The expected fall in interest rates can lead to a capital appreciation of 8-10% in addition to the YTM (yield to maturity). Investors can book profits and, on redemption, pay their marginal rate of tax,” says Rajul Kothari, Partner at Capital League, an all-women-led bou-

tique wealth management firm.

Therefore, it is important to check the modified duration of a fund when investing in a long-term debt fund. Modified duration is a useful tool for investors to evaluate the interest rate sensitivity of a bond. It can help investors predict how the bond's price will be affected by the fluctuations in interest rates. For example, a fund with a modified duration of five years would be expected to experience a 5% gain in price for a 1% fall in interest rates. Similarly, if a fund with a modified duration of eight years and 8% YTM experiences a 50-bps fall in a year, then the estimated return is expected to be near 12% (Average YTM + Modified Duration X Change in Interest Rate).

“We recommend investors consider government securities funds or invest in bond ETFs/bond index funds that primarily focus on long-dated Indian Government Bonds (IGBs)/State Development Loans (SDL) with an average maturity ranging from 10 to 20 years, depending on their individual risk appetite and investment horizon of at least one year. It must be noted that these funds may exhibit higher daily volatility as compared to corporate bond funds. However, they are superior from a risk-adjusted return and total return perspective in 2024, in our view,” says Dalal. SDLs are state government debt issued to meet budgetary expenses and implement development projects.

Investing in medium-term bonds can also be quite appealing. “This segment is also attractive from the perspective of making an additional return from capital appreciation with a lower risk compared to long-duration funds,” says Kothari. “Fixed-income investors can consider investing in

debt mutual categories such as medium-duration funds, corporate bond funds, and banking & PSU debt funds. Medium-duration funds maintain an average maturity of three to four years, while corporate bond funds invest primarily in the paper issued by the highest-rated entity, and banking & PSU funds prioritise investment in the paper issued by banks and PSUs for a higher level of safety (securities issued by banks and PSUs have higher ratings),” says Bajaj.

However, investors need to keep in mind that for short-term needs, they can park their money in liquid funds, ultra-short-duration funds, and FDs. However, one of the key differences is that FDs have a predetermined rate of return, whereas liquid funds and ultra-short-duration funds invest in money market instruments, and hence their rate of return may vary depending on market conditions. **111**

Importantly, debt MFs carry interest rate risk, which makes them less appealing during periods of rising interest rates. Plus, they have also lost their advantage over FDs as income tax on gains from debt MFs is now taxed at marginal rates similar to FDs, as per the Union Budget 2022-23.

Coming back to Raj, experts advise her to invest based on her risk profile and time horizon. If she is looking for a completely risk-free investment, then FDs are definitely the way to go. However, if she wants to leverage interest rate movements, then including debt funds with longer durations could have a positive impact on her portfolio. Hence, she should choose based on her risk profile, as a higher interest rate is associated with greater risks. Over to Raj now. **BT**

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